ZESA HOLDINGS (PVT) LTD

ZESA GROUP DEPRECIATION POLICY

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1. Introduction

The ZESA Holdings Group Depreciation policy is compliant with the requirements of International Accounting Standard 16 (Property, Plant and Equipment), IAS 16 (50) requires that **the depreciable amount of an asset shall be allocated on a systematic basis over its useful life. Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life.**

It is the Group's policy to utilize all its assets for their full economic lives and the residual value of the assets have therefore been determined as nil.

Land and capital work in progress are not depreciated. All other items of property, plant and equipment are depreciated using the straight-line method over their estimated useful lives from the time the assets are available for use.

2. Estimated Useful lives

The estimated useful lives of the Group's fixed assets are as follows:

Buildings	-	20 - 25 years
Plant and equipment	-	25 - 45 years
Tools and equipment	-	10 years
Motor vehicles	-	5 - 8 years
Furniture and office equipment	-	5 - 10 years
Telecommunication assets	-	25 years

The residual values are estimated at nil. IAS 16(51) states that **the estimated remaining useful lives and residual values are reviewed at each finance year-end and if expectations differ from previous estimates, the changes shall be accounted for as a change in an accounting estimate.**

3. Impairment of Property, Plant and Equipment

International Accounting Standard 36 (IAS 36), Impairment of assets, requires that all assets should be tested for impairment. The Group's objective of carrying out Impairment test is to ensure that the fixed assets are carried at no more than their recoverable amount.

The carrying amounts of the Group's assets are reviewed at each financial year to determine whether there is any indication of impairment, in which case their recoverable amounts are estimated. Where the recoverable amount is less than the net book value, the impairment is recognised in profit or loss to reduce the carrying amount of the affected assets to recoverable amounts.

4. Calculation of recoverable amount

The recoverable amount of items of Property, Plant and Equipment is the greater of the fair value less cost to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

5. De-recognition of Property, Plant and Equipment

At de-recognition of fixed assets, the Group is guided by IAS 16 (67) which states that at de-recognition of any element of Property, Plant and Equipment it shall be valued at its carrying amount. An asset is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposals are determined by comparing proceeds with the carrying amounts. The gains and losses are included in profit or loss.

6. Revaluation of Property, Plant and Equipment

The ZESA Group Revaluation policy requires that the fixed assets of the group be revalued after every 5 years so as to ensure that the assets are carried at fair value. **The Revaluation Model states that an asset, whose fair value can be measured reliably shall be carried at a revalued amount, being its fair value at the date of the revaluation less subsequent accumulated losses.**

Management revaluations on plant and machinery; land and buildings; tools and equipment categories are done yearly in between the 5 yearly external valuations to ensure the assets of the Group are carried at fair value.